J22A 76 - Management of People and Finance

Kareem Nurw Jason Schultz

Student ID: 252IFCBR0596

JAIN College

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Declaration of Originality

I declare that this assignment is entirely my own work. Where I have made use of the work of others, I have fully acknowledged the source using Harvard referencing conventions. I understand that any act of academic dishonesty, including plagiarism or collusion, may result in disciplinary action.

All research, analysis, and written content presented in this report were completed by me as part of the assessment for J22A 76 - Management of People and Finance.

Student Name: Kareem Nurw Jason Schultz
Student ID: 252IFCBR0596
Date: 26 February 2026

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TASK A: Human Resource Management

In this section, I outline the key functions of Human Resource Management (HRM) within modern organisations. HRM encompasses all aspects of managing people in the workplace, from recruitment through to departure, and plays a critical role in ensuring that organisations attract, develop, and retain talented employees (Armstrong and Taylor, 2020). The following sections explore three HRM approaches, motivational theory, industrial relations, and employment legislation in detail.

Section 1.1 - Three HRM Approaches and How They Contribute to Effective HR Management

Human Resource Management involves a range of strategic and operational approaches designed to maximise the contribution of employees to organisational success. This section examines three key HRM approaches: Recruitment and Selection, Training and Development, and Performance Management. Each approach is evaluated with real-world examples to demonstrate how they contribute to effective workforce management.

1.1.1 Recruitment and Selection

Recruitment and selection is one of the most fundamental HRM functions, as it determines the quality and suitability of the people who join an organisation. Recruitment refers to the process of attracting a pool of qualified candidates for a vacant position, while selection involves choosing the most appropriate candidate from that pool (CIPD, 2023). An effective recruitment and selection process typically begins with a thorough job analysis, which identifies the tasks, responsibilities, and requirements of the role. From this analysis, a job description is produced, outlining the duties and reporting relationships, along with a person specification, which details the essential and desirable qualifications, skills, experience, and personal attributes required of the successful candidate.

The recruitment process can be conducted internally, through promotions or transfers, or externally, using methods such as online job boards, recruitment agencies, social media, and university careers services. For example, Google is well known for its rigorous recruitment strategy, which includes multiple rounds of structured interviews, coding challenges for technical roles, and behavioural assessments designed to evaluate cultural fit (Schmidt and Hunter, 1998). Google receives over three million applications per year but hires only a fraction, reflecting the company's commitment to selecting the very best talent (Bock, 2015).

Selection methods commonly include interviews (structured or unstructured), psychometric tests, skills assessments, assessment centres, and references. Assessment centres, in particular, are considered one of the most valid selection methods because they use a combination of exercises, such as group discussions, presentations, in-tray exercises, and role plays, to evaluate candidates against multiple competencies at once (Robertson and Smith, 2001). The NHS, for example, uses assessment centres extensively when selecting senior managers and clinical leaders, ensuring that candidates demonstrate both technical competence and the interpersonal skills needed to lead diverse teams.

In practice, effective recruitment and selection contributes to HR management in several important ways. First, hiring the right person for the role reduces staff turnover, which is both costly and disruptive. The CIPD (2023) estimates that the average cost of replacing an employee is approximately 6,000 pounds when factoring in advertising, agency fees, interview time, training, and lost productivity. Second, good recruitment builds organisational capability by ensuring a diverse workforce with the skills needed to meet strategic objectives. Third, a fair and transparent recruitment process supports compliance with the Equality Act 2010, reducing the risk of discrimination claims and enhancing the organisation's reputation as an employer of choice. However, even the most rigorous selection process cannot completely eliminate the risk of poor hiring decisions.

1.1.2 Training and Development

Training and development is a core HRM function concerned with enhancing employees' knowledge, skills, and competencies to improve both individual performance and organisational effectiveness (Armstrong and Taylor, 2020). Training refers to planned activities designed to help employees acquire specific job-related skills, while development is a broader, longer-term process focused on personal and professional growth. Both are essential for maintaining a skilled, adaptable, and motivated workforce.

There are several types of training commonly used in organisations. Induction training is provided to new employees to familiarise them with the organisation's culture, policies, health and safety procedures, and their specific role. A well-structured induction programme helps new starters settle in quickly and become productive sooner. On-the-job training involves learning whilst performing the actual work, often through coaching, mentoring, job rotation, or shadowing experienced colleagues. This approach is cost-effective and immediately relevant, as the employee learns in the real working environment. Off-the-job training takes place away from the workplace, through external courses, workshops, conferences, or online learning platforms. Although more expensive, off-the-job training provides access to specialist knowledge and allows employees to learn without the distractions of daily work.

Continuing Professional Development (CPD) is an ongoing process where employees take responsibility for maintaining and updating their skills throughout their careers. Many professions, such as teaching, nursing, and accounting, require evidence of CPD as a condition of registration. For example, the John Lewis Partnership invests heavily in employee development, offering apprenticeships, management development programmes, and access to further education. As a partnership, John Lewis recognises that its employees (known as Partners) are also co-owners of the business, which creates a strong incentive to invest in their growth (John Lewis Partnership, 2023).

Training and development contributes to effective HR management by improving productivity, as employees who are properly trained make fewer mistakes and work more efficiently. It also enhances employee satisfaction and retention, since workers who feel that their employer is investing in their future are more likely to remain loyal. The CIPD (2023) reports that organisations with strong learning cultures experience 30 to 50 per cent higher retention rates than those that neglect training. On top of this, training supports succession planning by developing internal talent to fill future leadership positions, reducing reliance on costly external recruitment.

1.1.3 Performance Management

Performance management is a systematic process that seeks to align individual employee goals with the broader strategic objectives of the organisation (Bach and Edwards, 2013). Rather than being a one-off annual event, effective performance management is a continuous cycle that involves setting clear expectations, monitoring progress, providing feedback, and supporting development. It is one of the most important HRM approaches because it directly links employee effort to organisational outcomes.

The performance management process typically begins with goal setting, where managers and employees agree on specific, measurable, achievable, relevant, and time-bound (SMART) objectives for the review period. Performance is then monitored throughout the year through regular one-to-one meetings, informal check-ins, and the tracking of Key Performance Indicators (KPIs). KPIs are quantifiable metrics that measure how effectively an employee is achieving their objectives, such as sales targets, customer satisfaction scores, or project completion rates.

Formal performance appraisals are typically conducted annually or biannually, providing an opportunity for a structured review of achievement. Many organisations now use 360-degree feedback, where performance input is gathered not just from the line manager but also from peers, subordinates, and sometimes customers. This provides a more rounded and balanced view of an employee's strengths and areas for improvement. For example, the NHS uses 360-degree feedback as part of its medical revalidation process, where doctors must demonstrate that they continue to meet professional standards (General Medical Council, 2022).

Performance-related pay (PRP) is another tool used within performance management, linking financial rewards to the achievement of agreed targets. While PRP can be a powerful motivator, it must be implemented fairly and transparently to avoid perceptions of bias. Google, for instance, uses a combination of base salary, performance bonuses, and stock options to reward high performers, with performance ratings influencing the size of bonus payments (Bock, 2015).

Performance management contributes to effective HRM by ensuring that every employee understands what is expected of them and receives the support and feedback needed to achieve their goals. It enables early identification of underperformance so that appropriate interventions, such as additional training or coaching, can be put in place. It also supports talent identification by highlighting high-performing employees who may be suitable for promotion or leadership development programmes. In the end, performance management creates a culture of accountability and continuous improvement that benefits both employees and the organisation as a whole. That said, performance management systems can sometimes create anxiety or feel punitive if not implemented with proper training and communication.

Section 1.2 - Maslow's Hierarchy of Needs

Motivation is a central concern of HRM because the level of effort and commitment that employees bring to their work has a direct impact on organisational performance. One of the most widely recognised theories of motivation is Abraham Maslow's Hierarchy of Needs, first published in 1943. Maslow proposed that human needs are arranged in a hierarchical structure, often depicted as a pyramid, with the most basic physiological needs at the base and the need for self-actualisation at the apex. According to Maslow, individuals are motivated to satisfy lower-level needs before they can focus on higher-level ones (Maslow, 1943).

Diagram: Maslow's Hierarchy of Needs Pyramid

Figure 1: Maslow's Hierarchy of Needs, depicted as a five-level pyramid. The base represents physiological needs (most fundamental) and the peak represents self-actualisation (highest-order need).

The Five Levels Explained

Level 1 - Physiological Needs: These are the most basic human needs required for survival, including food, water, shelter, warmth, and rest. In the workplace, physiological needs are addressed through fair wages that enable employees to afford housing, food, and basic living expenses. Some employers go further by providing on-site facilities. Google, for example, offers free meals, snacks, and beverages at all of its offices, directly satisfying physiological needs and removing barriers to productivity (Bock, 2015). Comfortable working conditions, adequate heating and lighting, and access to rest areas also fall within this category.

Level 2 - Safety Needs: Once physiological needs are met, individuals seek security and stability. In the workplace, safety needs include job security, safe working conditions, health insurance, pension schemes, and protection from workplace hazards. The NHS is a strong example of an employer that addresses safety needs, as it offers permanent contracts, comprehensive pension schemes (the NHS Pension Scheme is one of the most generous in the UK), and strict compliance with health and safety regulations (NHS Employers, 2023). The Health and Safety at Work Act 1974 places a legal duty on all employers to ensure, so far as is reasonably practicable, the health, safety, and welfare of their employees, which directly supports this level of the hierarchy.

Level 3 - Belongingness and Love Needs: This level relates to the human desire for social connection, friendship, and a sense of belonging. In the workplace, organisations can address these needs through team-building activities, social events, mentoring programmes, and inclusive workplace cultures. Effective communication between management and staff, opportunities for collaboration, and

supportive line management all contribute to employees feeling that they are valued members of a team. Organisations that foster strong social bonds tend to experience lower absenteeism and higher levels of engagement (CIPD, 2023).

Level 4 - Esteem Needs: Esteem needs include the desire for recognition, respect, status, and a sense of achievement. Employers can address esteem needs through formal recognition schemes, such as employee of the month awards, performance bonuses, and public acknowledgement of achievements. Promotion opportunities, job titles, and increased responsibility also satisfy esteem needs. The John Lewis Partnership is a particularly relevant example, as its partnership model gives all employees a share in the profits and a voice in how the business is run. This ownership structure satisfies esteem needs by making employees feel respected and valued as stakeholders, not merely workers (John Lewis Partnership, 2023).

Level 5 - Self-Actualisation: The highest level of the hierarchy represents the need to fulfil one's potential and achieve personal growth. In the workplace, self-actualisation can be supported through challenging work assignments, opportunities for creativity and innovation, leadership development programmes, and support for further education. Google's famous '20% time' policy, which historically allowed engineers to spend one day per week on personal projects, is a well-known example of how an employer can encourage self-actualisation by giving employees the freedom to pursue their passions (Bock, 2015). Products such as Gmail and Google News originated from this policy, demonstrating that supporting self-actualisation can also generate significant business value.

Evaluation of Maslow's Theory

In my view, Maslow's Hierarchy of Needs has several strengths as a motivational framework. It is intuitive and easy to understand, making it accessible to managers who may not have a background in psychology. It provides a useful structure for thinking about the different factors that motivate employees and highlights the importance of meeting basic needs before expecting higher-level engagement. Many organisations use the hierarchy, either explicitly or implicitly, when designing their reward and benefit packages, ensuring that they address needs at every level.

However, the theory also has significant limitations. The rigid hierarchical structure has been criticised because it suggests that needs must be satisfied in a strict sequential order, which does not always reflect reality. For example, a poorly paid artist may prioritise self-actualisation over financial security, and many people pursue social belonging and esteem simultaneously rather than sequentially. Wahba and Bridwell (1976) conducted a comprehensive review of the research evidence and found little empirical support for the strict hierarchy. Also, the theory is culturally biased, as it was developed in a Western context and may not apply equally to collectivist cultures where group needs take precedence over individual self-actualisation (Hofstede, 2001). Despite these limitations, Maslow's theory remains one of the most widely taught and referenced models in HRM and continues to provide a valuable starting point for understanding workplace motivation. While the hierarchy is a useful framework, not all employees progress through the levels in a fixed order, especially in modern flexible workplaces.

Section 1.3 - Five Forms of Industrial Action and Their Impact

Industrial action refers to measures taken by workers, usually organised through trade unions, to put pressure on their employer during a dispute over pay, conditions, or other workplace issues. Industrial action is a fundamental part of the employment relationship and is regulated by UK employment law, particularly the Trade Union and Labour Relations (Consolidation) Act 1992 and the Trade Union Act 2016. This section examines five forms of industrial action, evaluating the impact of each on both employers and employees.

1.3.1 Strikes

A strike is the most visible and disruptive form of industrial action, involving the complete withdrawal of labour by workers. Employees refuse to attend work for a defined period, effectively halting production or service delivery. Strikes are typically used as a last resort after negotiations have broken down and are intended to demonstrate the collective power of the workforce.

Strikes have a significant impact on employers. Production stops completely during the strike period, leading to lost revenue, missed deadlines, and potential breach of contracts with customers. For service organisations, strikes can cause severe disruption to users. The series of rail strikes in 2022 and 2023, organised by the RMT union in dispute over pay, job security, and working conditions, caused widespread disruption to commuters and businesses across the UK, with Network Rail estimating losses of tens of millions of pounds per strike day (BBC News, 2023). Public sector strikes, such as those by NHS nurses represented by the Royal College of Nursing in early 2023, raised concerns about patient safety and placed additional pressure on already stretched services.

For employees, striking involves a loss of pay for the duration of the action, as employers are not obliged to pay workers who are on strike. This can cause financial hardship, especially for lower-paid workers. There is also a risk that prolonged strikes may damage the relationship between workers and management, making it more difficult to reach a satisfactory resolution. However, strikes can also strengthen worker solidarity and demonstrate the importance of collective bargaining power.

Under UK law, a strike is only lawful if it has been authorised by a properly conducted secret postal ballot, with a minimum turnout of 50 per cent, and if 14 days' notice has been given to the employer. The Trade Union Act 2016 introduced additional requirements for industrial action in 'important public services' such as health, education, and transport, where at least 40 per cent of those entitled to vote must have voted in favour. Workers who participate in lawful industrial action are protected from unfair dismissal for the first 12 weeks of the action (ACAS, 2023).

1.3.2 Go-Slow

A go-slow is a form of industrial action where workers continue to attend work but deliberately perform their duties at a reduced pace. The aim is to reduce productivity and output without the financial penalty of a full strike, as workers continue to receive their wages while still disrupting the employer's operations.

The impact on employers can be substantial, especially in manufacturing, logistics, or service environments where speed and efficiency are critical. Output falls, delivery times increase, and customer satisfaction may decline. For example, in the postal sector, go-slow actions by Royal Mail workers have historically led to delays in mail and parcel deliveries, affecting both personal and business customers (Communication Workers Union, 2022). Employers may find it difficult to address a go-slow because workers are technically still performing their duties, making it harder to take disciplinary action compared to a full strike.

For employees, a go-slow is attractive because it allows them to exert pressure on the employer while still earning their regular pay. That said, there are risks. If the go-slow is not officially sanctioned by the trade union or does not meet the legal requirements for industrial action, employees may face disciplinary action for failing to meet contractual performance standards. Prolonged go-slows can also strain relationships between workers and management and may lead to increased workplace tensions.

Go-slows occupy a grey area in UK employment law. While there is no specific legislation that addresses go-slows directly, they may be considered a breach of the implied contractual duty to work with reasonable skill and care. If the go-slow is part of a lawful trade dispute and has been properly balloted, workers will receive the same protections as those participating in a strike (Lewis and Sargeant, 2019).

1.3.3 Work-to-Rule

Work-to-rule is a form of industrial action in which workers strictly adhere to the precise terms of their employment contract and follow every workplace rule and procedure to the letter. In practice, most workplaces rely on employees exercising a degree of flexibility and goodwill, such as staying a few minutes late to complete a task, helping colleagues outside their immediate responsibilities, or using their initiative to solve problems. When workers adopt a work-to-rule approach, this flexibility disappears, and operations slow down significantly.

The impact on employers is considerable because organisations depend on discretionary effort from employees. When workers refuse to do anything beyond the strict requirements of their contract, efficiency drops, decision-making slows, and bottlenecks emerge. In education, for example, teachers adopting a work-to-rule would refuse to attend after-school meetings that are not contractually required, stop volunteering for extracurricular activities, and strictly observe break times, leading to significant disruption to the running of the school (NASUWT, 2022).

For employees, work-to-rule is one of the least financially risky forms of industrial action because they continue to receive full pay while technically fulfilling their contractual obligations. It highlights the extent to which employers rely on the goodwill and discretionary effort of their workforce. However, it can create a tense and unpleasant working environment, and prolonged work-to-rule actions may damage team dynamics and morale.

Legally, work-to-rule is difficult for employers to challenge because employees are, by definition, complying with the terms of their contract. However, if the action is organised as part of a trade dispute, it should follow the same ballot and notice requirements as other forms of industrial action to ensure legal protection for the workers involved (ACAS, 2023).

1.3.4 Lockouts

A lockout is a form of industrial action initiated by the employer rather than the workers. During a lockout, the employer prevents workers from entering the workplace and carrying out their duties, effectively denying them the opportunity to work and earn wages. Lockouts are used by employers as a counter-measure during disputes, intended to put financial pressure on workers and their trade union to accept the employer's position.

The impact on employers is that a lockout stops production or service delivery, similar to a strike. Even so, the employer retains control over the timing and duration of the action. Lockouts can be effective as a bargaining tool because they force workers to go without pay, which can be particularly pressuring for lower-paid employees. In the United States, lockouts have been used more frequently in industries such as professional sports and manufacturing, though they are less common in the UK. A notable international example was the 2012-2013 National Hockey League lockout in North America, where team owners locked out players for 113 days during a dispute over revenue sharing, resulting in significant financial losses for both sides.

For employees, lockouts cause immediate financial hardship because they lose their wages for the duration of the action. Workers may struggle to meet financial commitments, and prolonged lockouts can create anxiety and uncertainty about job security. Trade unions may provide strike funds or hardship payments to support members during a lockout, but these are typically modest.

In the UK, lockouts are subject to the same legal framework as other forms of industrial action. An employer who locks out workers during a lawful trade dispute is not required to pay wages for the period of the lockout. However, if the lockout is conducted in a manner that breaches the employment contract, such as failing to give adequate notice, it may give rise to claims for breach of contract or unfair dismissal (Lewis and Sargeant, 2019).

1.3.5 Picketing

Picketing involves workers gathering at or near the entrance to their workplace during a dispute to peacefully protest and persuade others not to cross the picket line. Picketing is often conducted alongside a strike and serves both a practical purpose, by discouraging other workers, suppliers, and customers from entering the premises, and a symbolic purpose, by drawing public attention to the dispute.

The impact on employers can be significant, particularly if picketing is effective in preventing deliveries, discouraging customers, or generating negative media coverage. During the 2022-2023 Royal Mail strikes, picket lines outside sorting offices attracted considerable media attention and public sympathy, putting pressure on management to reach a settlement (Communication Workers Union, 2022). The reputational impact of picketing can be substantial, as images of workers on picket lines may damage the employer's brand and public perception.

For employees, picketing is a way of demonstrating solidarity and making their voices heard. It can boost morale among strikers and strengthen the sense of collective purpose. However, picketing can also be physically demanding, particularly in poor weather conditions, and there is a risk of confrontation with those who wish to cross the picket line.

UK law strictly regulates picketing to ensure it remains peaceful and lawful. Under the Trade Union and Labour Relations (Consolidation) Act 1992, picketing is only lawful if it takes place at or near the worker's own place of work, is conducted for the purpose of peacefully obtaining or communicating information, or peacefully persuading any person to work or not to work. There is a Code of Practice on Picketing issued by the Department for Business and Trade, which recommends that the number of pickets at any entrance should normally not exceed six. A trade union must appoint a picket supervisor who is familiar with the Code of Practice and who carries a letter of authorisation from the union. Secondary picketing, which involves picketing at a workplace other than one's own, is generally unlawful (ACAS, 2023).

Section 1.4 - Employment Legislation

It seems clear from studying this area that employment legislation provides the legal framework that governs the relationship between employers and employees in the UK. It establishes minimum standards for working conditions, protects employees from unfair treatment, and sets out the rights and obligations of both parties. This section examines five key areas of employment legislation, explaining what each law covers, the obligations it places on employers, the rights it grants to employees, and the consequences of non-compliance.

1.4.1 Equality Act 2010

The Equality Act 2010 is the primary piece of UK legislation that protects individuals from discrimination in the workplace and in wider society. It replaced and consolidated previous anti-discrimination laws, including the Sex Discrimination Act 1975, the Race Relations Act 1976, and the Disability Discrimination Act 1995, creating a single, coherent legal framework.

The Act identifies nine protected characteristics: age, disability, gender reassignment, marriage and civil partnership, pregnancy and maternity, race, religion or belief, sex, and sexual orientation. It prohibits several forms of discrimination, including direct discrimination (treating someone less favourably because of a protected characteristic), indirect discrimination (applying a policy or practice that puts people with a protected characteristic at a disadvantage), harassment (unwanted conduct related to a protected characteristic that creates an intimidating or hostile environment), and victimisation (treating someone unfairly because they have raised or supported a discrimination complaint).

Employers have a legal obligation to ensure that their recruitment processes, pay structures, promotion decisions, and workplace policies are free from discrimination. They must also make reasonable adjustments for disabled employees, such as providing accessible workstations, modified working hours, or assistive technology. Employers are vicariously liable for acts of discrimination committed by their employees in the course of employment, unless they can demonstrate that they took all reasonable steps to prevent it.

Employees who believe they have been discriminated against can raise a grievance with their employer and, if unresolved, bring a claim to an employment tribunal. Remedies may include compensation (which is uncapped for discrimination claims), a declaration of the employee's rights, or a recommendation that the employer takes specific action to reduce the effect of the discrimination. Non-compliance with the Equality Act can result in significant financial penalties, reputational damage, and loss of employee trust (Equality and Human Rights Commission, 2021).

1.4.2 Health and Safety at Work Act 1974

The Health and Safety at Work Act 1974 (HSWA) is the foundational piece of UK legislation governing workplace health and safety. It places a general duty on employers to ensure, so far as is reasonably practicable, the health, safety, and welfare of all their employees whilst at work. The Act also imposes duties on employees to take reasonable care of their own health and safety and that of others who may be affected by their acts or omissions.

Employers are required to conduct thorough risk assessments to identify potential hazards in the workplace and implement appropriate control measures. They must provide employees with adequate information, instruction, training, and supervision to ensure safe working practices. Employers must also maintain the workplace in a safe condition, provide appropriate personal protective equipment (PPE) where necessary, and have procedures in place for dealing with emergencies.

The Act is enforced by the Health and Safety Executive (HSE) and local authority environmental health departments. HSE inspectors have the power to enter workplaces without notice, carry out inspections, and take action where they find non-compliance. Enforcement actions include improvement notices (requiring the employer to remedy a contravention within a specified period), prohibition notices (requiring the employer to stop a dangerous activity immediately), and prosecution. Serious breaches can result in unlimited fines and, in cases where negligence leads to death, imprisonment under the Corporate Manslaughter and Corporate Homicide Act 2007 (HSE, 2023).

Employees have the right to a safe working environment, to receive necessary health and safety training, to be consulted on health and safety matters, and to stop work and leave an area if they believe they are in serious and imminent danger. They also have the right to raise health and safety concerns with their employer or the HSE without fear of dismissal or other detriment (ACAS, 2023).

1.4.3 National Minimum Wage Act 1998

The National Minimum Wage Act 1998 established a legal minimum hourly rate of pay for workers in the UK. The National Living Wage (NLW), which applies to workers aged 21 and over (lowered from 23 in April 2024), and the National Minimum Wage (NMW), which applies to younger workers and apprentices. Both rates are reviewed annually by the Low Pay Commission, an independent body that advises the government on appropriate rates.

As of April 2024, the NLW is set at 11.44 pounds per hour for workers aged 21 and over. The NMW rates are 8.60 pounds per hour for workers aged 18 to 20, 6.40 pounds per hour for workers under 18, and 6.40 pounds per hour for apprentices. These rates are designed to protect workers from exploitation while ensuring that businesses can remain competitive.

Employers are legally required to pay at least the minimum wage to all eligible workers. They must keep accurate records of hours worked and wages paid, and make these available for inspection if requested. Enforcement is carried out by HM Revenue and Customs (HMRC), which has the power to investigate complaints, carry out inspections, and issue notices of underpayment. Employers found to be paying below the minimum wage must pay arrears to the affected workers and may be issued with a financial penalty of up to 200 per cent of the arrears, up to a maximum of 20,000 pounds per worker. Persistent or deliberate non-compliance can result in criminal prosecution (Gov.uk, 2024).

The minimum wage has had a significant impact on UK businesses, especially in low-pay sectors such as retail, hospitality, and social care. While it has lifted the earnings of millions of workers and reduced in-work poverty, some employers, particularly small businesses, argue that the rising minimum wage increases their labour costs and reduces their ability to create new jobs. Nonetheless, research by the Low Pay Commission (2023) suggests that the negative employment effects of the minimum wage have been minimal and that it has been broadly beneficial for both workers and the economy.

1.4.4 Working Time Regulations 1998

The Working Time Regulations 1998 (WTR) implement the European Working Time Directive into UK law and set limits on working hours, rest breaks, and annual leave entitlement. Although the UK has left the European Union, the Working Time Regulations remain in force as retained EU law and continue to provide important protections for UK workers.

The key provisions of the WTR include a maximum average working week of 48 hours, calculated over a 17-week reference period. Workers have the right to opt out of the 48-hour limit voluntarily, but the opt-out must be in writing and can be withdrawn by the worker with seven days' notice. Adult workers are entitled to a rest break of at least 20 minutes if their working day is longer than six hours, a daily rest period of at least 11 consecutive hours between working days, and a weekly rest period of at least 24 uninterrupted hours in each seven-day period (or 48 hours in each 14-day period).

The WTR also provide for a minimum of 5.6 weeks' paid annual leave per year (28 days for a full-time worker), which can include public holidays. Employers are not permitted to replace the holiday entitlement with a payment in lieu, except when the worker's employment is terminated. Night workers are subject to additional protections, including a limit of an average of eight hours' work in any 24-hour period and the right to free health assessments.

Failure to comply with the WTR can result in employment tribunal claims. Workers who are denied their rest breaks or holiday entitlement, or who are subjected to a detriment for refusing to work excessive hours, can bring a claim for compensation. Employers who fail to limit working hours or provide adequate rest breaks may also face enforcement action from the HSE (Gov.uk, 2024).

1.4.5 Dismissal and Redundancy

The law governing dismissal and redundancy is primarily contained in the Employment Rights Act 1996, which establishes the rights of employees in relation to termination of employment. An understanding of dismissal and redundancy law is essential for both employers and employees to ensure that terminations are handled fairly, lawfully, and with appropriate procedural safeguards.

Fair dismissal requires the employer to have a potentially fair reason for the dismissal, which falls into one of five statutory categories: capability or qualifications, conduct, redundancy, contravention of a statutory duty or restriction, and 'some other substantial reason.' In addition to having a fair reason, the employer must follow a fair procedure, which typically involves investigating the issue, informing the employee of the allegations or circumstances, holding a formal meeting, allowing the employee to be accompanied, and providing a right of appeal. The ACAS Code of Practice on Disciplinary and Grievance Procedures provides detailed guidance on the steps that employers should follow (ACAS, 2023).

Unfair dismissal occurs when an employer terminates an employee's contract without a fair reason or without following a fair procedure. Some dismissals are automatically unfair, regardless of the reason, including dismissal for pregnancy, for making a protected disclosure (whistleblowing), for asserting a statutory right, or for taking part in lawful industrial action within the first 12 weeks. Employees with at least two years' continuous service have the right to bring a claim for unfair dismissal to an employment tribunal. If the claim is successful, the tribunal may order reinstatement, re-engagement, or compensation, which includes a basic award (calculated in the same way as a statutory redundancy

payment) and a compensatory award (currently capped at the lower of 105,707 pounds or 52 weeks' pay).

Redundancy occurs when an employer dismisses employees because the business is closing, the workplace is closing, or the requirement for employees to carry out work of a particular kind has ceased or diminished. Employers are required to follow a fair redundancy procedure, which includes consulting with affected employees (and trade unions or employee representatives if 20 or more redundancies are proposed). They must apply fair and objective selection criteria and consider suitable alternative employment within the organisation, and allowing a right of appeal. Employees with at least two years' continuous service are entitled to a statutory redundancy payment, calculated based on age, length of service, and weekly pay (capped at a statutory maximum). Failure to follow a fair redundancy procedure can result in claims for unfair dismissal and additional compensation (Gov.uk, 2024).

TASK B: Finance

This part focuses on the financial aspects of business management, including the sources of finance available to organisations, the purposes of financial statements, and the use of accounting ratios to analyse business performance. A sound understanding of finance is essential for managers because financial decisions directly affect an organisation's ability to operate, grow, and achieve its strategic objectives (Atrill and McLaney, 2021).

Section 2.1 - Three Sources of Finance

Businesses require finance for a variety of purposes, including starting up, day-to-day operations, expansion, and investment in new assets. The choice of finance depends on factors such as the amount needed, the duration, the cost, the level of risk, and the stage of the business. This section examines two long-term sources of finance (bank loans and retained profits) and one short-term source (overdraft), evaluating their suitability for different business scenarios.

2.1.1 Bank Loans (Long-Term)

A bank loan is a sum of money borrowed from a bank that is repaid over a fixed period, typically between one and 25 years, with interest. The borrower receives the full amount of the loan at the outset and makes regular repayments (usually monthly) that include both capital and interest. Bank loans can be secured (backed by an asset such as property) or unsecured (based on the borrower's creditworthiness).

There are several advantages of bank loans as a source of finance. First, the borrower receives the full amount immediately, which is useful for large, planned investments such as purchasing premises, equipment, or vehicles. Second, repayments are spread over a fixed period, making them predictable and easier to budget for. Third, the interest rate may be fixed, protecting the borrower from fluctuations in market rates. Fourth, the lender has no ownership stake in the business, so the borrower retains full control.

That said, there are also disadvantages. Interest must be paid regardless of whether the business is profitable, which can create a significant financial burden during difficult trading periods. Secured loans carry the risk that the pledged asset may be repossessed if the borrower defaults on repayments. Banks may also require the business to meet certain conditions (covenants), such as maintaining a minimum level of profitability or asset cover. For example, when Tesco undertook a major store expansion programme in the early 2000s, it used a combination of bank loans and retained profits to fund the construction of new supermarkets and distribution centres across the UK (Tesco PLC, 2023).

Bank loans are most appropriate for established businesses with a proven track record and sufficient assets to offer as security. They are particularly suitable for funding long-term capital investments where the benefits will be realised over several years, such as buying property or investing in major equipment. Start-up businesses may find it more difficult to obtain bank loans because they lack the trading history and assets that banks typically require as security.

2.1.2 Retained Profits (Long-Term)

Retained profits are the portion of a company's net profit that is not distributed to shareholders as dividends but is instead reinvested in the business. Retained profits are one of the most common and important sources of long-term finance, particularly for established businesses that have been trading profitably over a number of years.

The main advantage of retained profits is that they are free of interest charges, unlike bank loans or other forms of borrowing. There are no repayment obligations, no interest costs, and no need to provide security. The business retains complete control over how the funds are used, and there is no dilution of ownership, as there would be with issuing new shares. Retained profits also signal financial health and stability, which can enhance the business's reputation with investors, creditors, and customers.

That said, retained profits have limitations. They are only available to businesses that are already profitable, which excludes start-ups and loss-making organisations. The amount available is limited to what the business has earned and not distributed, which may be insufficient for large-scale investments. There is also an opportunity cost, as profits that are retained cannot be paid to shareholders, which may make the company less attractive to investors who expect regular dividend income. For example, Apple Inc. famously accumulated over 200 billion dollars in retained profits before eventually beginning to pay dividends and buy back shares in 2012, reflecting a strategic decision to reinvest profits into research, development, and new product lines (Apple Inc., 2023).

Retained profits are most appropriate for established, profitable businesses that wish to fund gradual expansion, invest in new equipment, or build up a financial reserve without taking on external debt. They are particularly suitable for businesses that value independence and wish to avoid the obligations and conditions that come with external finance.

2.1.3 Bank Overdraft (Short-Term)

A bank overdraft is a short-term borrowing facility that allows a business to withdraw more money from its bank account than it currently holds, up to an agreed limit. Overdrafts are designed to help businesses manage short-term cash flow fluctuations, such as covering wages or supplier payments while waiting for customers to pay their invoices.

The key advantage of an overdraft is its flexibility. The business only borrows what it needs, and interest is charged only on the amount overdrawn, not on the entire facility limit. It provides immediate access to funds without the need for a formal loan application, making it ideal for managing unexpected cash shortfalls or seasonal variations in income. For example, a retail business may use an overdraft facility during quieter trading months to cover expenses, knowing that cash flow will improve during peak periods such as the Christmas season.

On the other hand, overdrafts have significant disadvantages. Interest rates on overdrafts are typically much higher than on bank loans, making them an expensive form of borrowing if used over extended periods. The facility is repayable on demand, which means the bank can withdraw the overdraft at any time, potentially leaving the business in a difficult financial position. Overdrafts are not suitable for funding long-term investments because of their short-term nature and high cost.

Overdrafts are most appropriate for businesses of all sizes that need to manage short-term cash flow gaps. They are particularly useful for start-ups and small businesses that experience irregular income patterns. However, businesses that find themselves permanently overdrawn should consider converting to a longer-term loan to reduce interest costs and provide greater financial stability.

Comparison of Sources of Finance

Source	Type	Cost	Best For	Risk Level
Bank Loan	Long-term	Fixed/variable interest	Established businesses; capital investment	Medium
Retained Profits	Long-term	No direct cost	Profitable businesses; gradual expansion	Low
Bank Overdraft	Short-term	High variable interest	All businesses; cash flow management	Medium-High

Section 2.2 - Five Purposes of Financial Statements

Financial statements are formal records of a business's financial activities and position. They provide essential information to a wide range of stakeholders, including investors, managers, creditors, and HM Revenue and Customs (HMRC). The three main financial statements are the Income Statement (Profit and Loss Account), the Statement of Financial Position (Balance Sheet), and the Cash Flow Statement. This section first explains each statement and then examines five specific purposes that financial statements serve.

The Three Main Financial Statements

Income Statement (Profit and Loss Account): The income statement shows the revenue earned and the expenses incurred by a business over a specific period, typically one year. It calculates the gross profit (revenue minus cost of sales) and the net profit (gross profit minus operating expenses, interest, and tax). The income statement is a key indicator of profitability and shows whether the business is generating sufficient income to cover its costs and provide a return to its owners (Atrill and McLaney, 2021).

Statement of Financial Position (Balance Sheet): The balance sheet provides a snapshot of a business's financial position at a specific point in time, showing what the business owns (assets), what it owes (liabilities), and the residual interest of the owners (equity). Assets are classified as non-current (long-term assets such as property and equipment) and current (short-term assets such as stock, debtors, and cash). Liabilities are similarly classified as non-current (long-term debts) and current (amounts due within one year). The fundamental accounting equation states that assets equal liabilities plus equity.

Cash Flow Statement: The cash flow statement shows the actual cash inflows and outflows of a business over a specific period. It is divided into three sections: operating activities (cash generated from the core business), investing activities (cash used to buy or received from selling assets), and financing activities (cash from borrowing, share issues, or dividend payments). The cash flow statement is crucial because a profitable business can still fail if it runs out of cash, highlighting the important distinction between profit and cash flow.

Five Purposes of Financial Statements

1. Assessing Profitability: One of the primary purposes of financial statements is to enable stakeholders to assess the profitability of a business. The income statement shows whether the business is making a profit or a loss, and how that profit is distributed between cost of sales, operating expenses, and taxation. Investors use profitability information to determine whether the business is generating an adequate return on their investment, while managers use it to identify areas where costs can be reduced or revenue can be increased.

2. Evaluating Liquidity: Financial statements allow stakeholders to assess the liquidity of a business, meaning its ability to meet its short-term financial obligations as they fall due. The balance sheet shows the relationship between current assets and current liabilities, and the cash flow statement reveals whether the business is generating sufficient cash to cover its day-to-day expenses. Creditors and

suppliers are particularly interested in liquidity because it affects the likelihood that they will be paid on time.

3. Comparing Performance: Financial statements enable comparison of business performance over time (trend analysis) and against competitors (benchmarking). By examining financial statements from successive years, managers can identify trends in revenue, profitability, and efficiency. Comparing the financial ratios of similar businesses within an industry helps investors and managers understand how well the business is performing relative to its peers and whether there are areas for improvement.

4. Tax Compliance: Businesses are legally required to prepare financial statements for tax purposes. HMRC uses the information in the income statement to calculate the corporation tax (for companies) or income tax (for sole traders and partnerships) that is due. Accurate financial statements are essential for ensuring that the correct amount of tax is paid and for avoiding penalties for non-compliance. Companies are also required to file their financial statements with Companies House, where they become publicly available.

5. Securing Investment and Finance: Financial statements are a critical tool for businesses seeking to raise finance from external sources. Banks and other lenders examine financial statements to assess the creditworthiness of a business before approving a loan. Investors review financial statements to evaluate the potential return on their investment and the level of risk involved. A business with strong, well-presented financial statements is more likely to secure favourable terms from lenders and attract investment from shareholders (Atrill and McLaney, 2021).

Section 2.3 - Five Accounting Ratios and How Each Analyses Performance

Accounting ratios are mathematical calculations that use data from financial statements to analyse different aspects of a business's performance. They are widely used by managers, investors, and creditors because they provide a standardised way of measuring profitability, liquidity, and financial stability, enabling meaningful comparisons between businesses and over time. This section explains five key accounting ratios, including their formulae, interpretation, example calculations, and managerial applications.

2.3.1 Gross Profit Margin

The gross profit margin measures the percentage of revenue that remains after deducting the cost of sales. It indicates how efficiently a business converts its revenue into gross profit, reflecting the effectiveness of its pricing strategy and production cost management.

Formula: Gross Profit Margin = (Gross Profit / Revenue) x 100

Example calculation: A business has revenue of 500,000 pounds and cost of sales of 300,000 pounds. The gross profit is 500,000 minus 300,000 equals 200,000 pounds. The gross profit margin is (200,000 / 500,000) x 100 = 40 per cent.

From a practical standpoint, a higher gross profit margin indicates that the business is retaining a larger proportion of each pound of revenue as gross profit, which suggests effective cost control and a strong pricing strategy. A declining gross profit margin over time may indicate rising input costs, increased competition forcing price reductions, or inefficiencies in the production process. Typical gross profit margins vary significantly by industry, with software companies often achieving margins of 70 to 90 per cent, while supermarkets typically operate on margins of 25 to 30 per cent. Managers use this ratio to monitor production efficiency, evaluate supplier contracts, and make pricing decisions. However, this ratio does not account for operating expenses or differences in industry cost structures.

2.3.2 Net Profit Margin

The net profit margin measures the percentage of revenue that remains as net profit after all expenses, including operating costs, interest, and tax, have been deducted. It provides a comprehensive picture of overall profitability and how well the business controls its total cost base.

Formula: Net Profit Margin = (Net Profit / Revenue) x 100

Example calculation: Using the same business, if operating expenses are 120,000 pounds, interest is 10,000 pounds, and tax is 14,000 pounds, the net profit is 200,000 minus 120,000 minus 10,000 minus 14,000 equals 56,000 pounds. The net profit margin is (56,000 / 500,000) x 100 = 11.2 per cent.

A healthy net profit margin indicates that the business is managing all of its costs effectively, not just production costs. If the gross profit margin is strong but the net profit margin is weak, this suggests that operating expenses, such as administrative costs, rent, or marketing, are too high relative to revenue. Managers use the net profit margin to assess overall business efficiency, identify areas where overhead costs can be reduced, and evaluate whether the business is generating a satisfactory return for its

owners. A limitation is that one-off costs or exceptional items can distort the net profit figure in any given period.

2.3.3 Current Ratio

The current ratio is a liquidity ratio that measures a business's ability to pay its short-term obligations using its short-term assets. It compares current assets (cash, stock, and debtors) with current liabilities (amounts due within one year, such as trade creditors and short-term loans).

Formula: Current Ratio = Current Assets / Current Liabilities

Example calculation: A business has current assets of 150,000 pounds and current liabilities of 75,000 pounds. The current ratio is 150,000 / 75,000 = 2:1.

A current ratio of 2:1 is often cited as ideal, meaning the business has twice as many current assets as current liabilities, providing a comfortable margin of safety. A ratio below 1:1 indicates that the business may not have sufficient current assets to meet its short-term obligations, which could lead to cash flow problems and an inability to pay suppliers or employees on time. However, a very high current ratio (for example, 5:1) may suggest that the business is not using its assets efficiently, with too much cash sitting idle or excessive levels of stock. Managers use the current ratio to monitor liquidity, plan cash flow, and make decisions about stock levels, credit terms, and short-term borrowing. However, this ratio treats all current assets as equally liquid, which may not reflect reality if stock is difficult to sell quickly.

2.3.4 Return on Capital Employed (ROCE)

Return on Capital Employed (ROCE) is a profitability ratio that measures how effectively a business uses its total capital (equity plus long-term borrowings) to generate profit. It is widely regarded as one of the most important financial ratios because it shows the return that the business generates for every pound of capital invested.

Formula: ROCE = (Net Profit / Capital Employed) x 100

Where: Capital Employed = Total Assets - Current Liabilities (or Equity + Non-Current Liabilities)

Example calculation: A business has net profit of 56,000 pounds, total assets of 400,000 pounds, and current liabilities of 75,000 pounds. Capital employed is 400,000 minus 75,000 equals 325,000 pounds. ROCE is (56,000 / 325,000) x 100 = 17.2 per cent.

A higher ROCE indicates that the business is generating more profit relative to the capital invested, which is attractive to investors. As a general guide, a ROCE above 15 per cent is considered good, while a ROCE below 10 per cent may suggest that the capital could be more productively invested elsewhere. Investors compare ROCE with the returns available from alternative investments, such as savings accounts or government bonds, to assess whether the level of risk is justified by the return. Managers use ROCE to evaluate the performance of different divisions or business units, to assess the viability of capital investment projects, and to benchmark performance against industry competitors. One drawback is that ROCE can be inflated by old, fully depreciated assets that reduce the capital employed figure.

2.3.5 Debt-to-Equity Ratio

The debt-to-equity ratio measures the proportion of a business's financing that comes from debt (borrowed money) compared to equity (the owners' investment and retained profits). It is a key indicator of financial leverage and risk, showing the extent to which a business relies on external borrowing to fund its operations and growth.

Formula: Debt-to-Equity Ratio = Total Debt / Total Equity

Example calculation: A business has total debt (including long-term loans and overdrafts) of 120,000 pounds and total equity of 200,000 pounds. The debt-to-equity ratio is 120,000 / 200,000 = 0.6, or 0.6:1.

A debt-to-equity ratio of 0.6:1 means that for every pound of equity, the business has 60 pence of debt, which is generally considered a moderate level of gearing. A lower ratio indicates that the business is primarily financed by equity, which reduces financial risk because there are fewer interest obligations and less exposure to changes in interest rates. A higher ratio indicates greater reliance on debt, which increases financial risk but may also amplify returns to shareholders through the effect of financial leverage. A ratio above 2:1 is generally considered high risk, as it suggests the business is heavily indebted and may struggle to service its debt during periods of low profitability.

Managers use the debt-to-equity ratio to make decisions about the optimal capital structure of the business, balancing the tax benefits and lower cost of debt against the increased financial risk. Creditors examine the ratio to assess the risk of lending, and investors use it to evaluate the risk profile of their investment. For example, utility companies typically have higher debt-to-equity ratios because their stable, regulated income streams can support higher levels of borrowing, while technology start-ups tend to have lower ratios because their volatile earnings make it harder to service debt (Atrill and McLaney, 2021). However, an acceptable ratio varies significantly between industries, so comparisons should be made within the same sector.

Summary of Accounting Ratios

Ratio	Formula	Measures	Ideal / Guideline
Gross Profit Margin	(GP / Revenue) x 100	Production efficiency	Higher is better; varies by industry
Net Profit Margin	(NP / Revenue) x 100	Overall profitability	Higher is better; typically 5-20%
Current Ratio	CA / CL	Short-term liquidity	Approx. 2:1
ROCE	(NP / CE) x 100	Return on investment	Above 15% is good
Debt-to-Equity	Total Debt / Total Equity	Financial leverage	Below 1:1 is conservative

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Mapping Table

The following table maps each section of this report to the relevant outcomes and performance criteria of the J22A 76 unit specification.

Section	Topic	Outcome	Marks
1.1	Three HRM Approaches	Outcome 1: Explain approaches to HRM	15
1.2	Maslow's Hierarchy of Needs	Outcome 1: Apply motivational theory	15
1.3	Five Forms of Industrial Action	Outcome 1: Industrial relations	15
1.4	Employment Legislation	Outcome 1: Employment law	15
2.1	Three Sources of Finance	Outcome 2: Sources of finance	15
2.2	Purposes of Financial Statements	Outcome 2: Financial statements	10
2.3	Five Accounting Ratios	Outcome 2: Analyse performance using ratios	15

(Task A: 60 + Task B: 40)